IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP (CAA) 52 – 56/CHE/2021
In
CA (CAA)/16-20(CHE)/2021

(filed under Section 230 to 232 of The Companies Act, 2013)

In the Matter of ***Scheme of Amalgamation***
Between

PRINCE HOLDINGS (MADRAS) PRIVATE LIMITED
CIN: U65991TN1993PTC025014
Reg. Off:-
Dhun Building, North Wing,
827, Anna Salai, Chennai – 02 ... Transferor Company 1

ANNA INVESTMENTS PRIVATE LIMITED
CIN: U65993TN1994PTC028023
Reg. Off:-
Dhun Building, North Wing,
827, Anna Salai, Chennai – 02 ... Transferor Company 2

RUPA HOLDINGS PRIVATE LIMITED
CIN: U65991TN1993PTC025015
Reg. Off:-
Dhun Building, North Wing,
827, Anna Salai, Chennai – 02 ... Transferor Company 3

THAMBI INVESTMENTS PRIVATE LIMITED
CIN: U65993TN1994PTC028024
Reg. Off:-
Dhun Building, North Wing,
827, Anna Salai, Chennai – 02 ... Transferor Company 4

EWS FINANCE AND INVESTMENTS PRIVATE LIMITED
CIN: U65921TN1990PTC018810
Reg. Off:-
Dhun Building, North Wing,
827, Anna Salai, Chennai – 02 ... Transferee Company

And
Their Respective Shareholders and Creditors

Order Pronounced on 27th June 2022

CORAM:

JUSTICE (RETD.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioner(s) : *T.K. Bhaskar, Advocate*
For Regional Director : *None Appeared*
For Official Liquidator : *B. Palani, Authorized Representative*
For Income Tax : *None Appeared*

COMMON ORDER

Per: **JUSTICE (RETD.) S. RAMATHILAGAM, MEMBER (JUDICIAL)**

CP(CAA)/52-56(CHE)/CAA/2021 are five separate Company Petitions filed by the Petitioner Companies above named for the purpose of the approval of the Modified Scheme of Amalgamation (hereinafter referred to as the 'SCHEME') as contemplated between the Petitioner Companies viz. **PRINCE HOLDINGS (MADRAS) PRIVATE LIMITED** (Transferor Company 1) And **ANNA INVESTMENTS PRIVATE LIMITED** (Transferor Company 2) And **RUPA HOLDINGS PRIVATE LIMITED** (Transferor Company 3) And **THAMBI INVESTMENTS PRIVATE LIMITED** (Transferor Company 4) And **EWS FINANCE AND INVESTMENTS PRIVATE LIMITED** (Transferee Company) under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (hereinafter referred to as *'the Act'*) read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as *'the Rules'*) pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also filed as Modified Scheme of Amalgamation before this Tribunal in MA(CA)/4-8(CHE)/2022 in CP(CAA)/52-56(CHE)/2021 on 18.02.2022.

2. The Composite Scheme of as contemplated between the Petitioner Companies involves the following parts:

PART A- Dealing with Definitions & Share Capital

PART B- Dealing with Amalgamation of Prince Holdings (Madras) Private Limited & Anna Investments Private Limited & Rupa Holdings Private Limited & Thambi Investments Private Limited with EWS Finance and Investments Limited.

PART C- Dealing with General Terms and Conditions applicable to the entire Scheme.

3. 1ST MOTION APPLICATION – IN BRIEF

3.1 The Petitioner Companies have filed the First Motion Application vide CA(CAA)/16-20(CHE)/2021 seeking directions for dispensation / holding of the meetings of the Equity Shareholders, Secured and Unsecured Creditors as follows;

	Equity Shareholders	**Optionally Convertible/Non-Cumulative Redeemable Preference Shareholders**	**Compulsorily Convertible Debenture holders**	**Secured Creditor**	**Unsecured Creditors**
Transferor Company 1	To dispense with	To dispense with the meeting	To dispense with	To dispense with	To dispense with
Transferor Company 2	To dispense with	To dispense with	To dispense with	NA*	To dispense with
Transferor Company 3	To dispense with	To dispense with	To dispense with	NA*	To dispense with
Transferor Company 4	To dispense with	To dispense with	To dispense with	NA*	To dispense with
Transferee Company	***To hold Meeting***	To dispense with	To dispense with	NA*	To dispense with

**(As there are no secured Creditors holding / dispensation of meetings are not applicable)*

3.2 Based on such applications moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 01.09.2021 for dispensation / holding of the meetings of the respective Petitioner Companies concerned.

3.3 In accordance with the order of this Tribunal, meeting of the Equity shareholders of the Transferee Company was held on 16.10.2021 chaired by Mr. S. Vijayaraghavan and the report of the same was also submitted whereby the chairman has reported that the scheme was approved unanimously by the Equity shareholders in the meeting. Subsequently, the Petitioner Companies have filed the second motion Petition before this Tribunal on 26.10.2021 for sanction of the Scheme of Amalgamation as contemplated between the parties.

3.4 During the Course of hearing of the instant petitions, the Petitioner Companies have come up with MA/(CA)/4-8/2022 before this Tribunal seeking modification of Clause 11 of the proposed scheme. Since certain inadvertent error has crept in. The same was allowed by this Tribunal vide daily order dated 26.05.2022. The modified scheme of Amalgamation is also filed before this Tribunal on 18.02.2022.

4. RATIONALE OF THE SCHEME

4.1 The learned Counsel appearing on behalf of the Petitioner Companies submitted that the salient Features of the proposed scheme are as follows:

4.1.1 The Amalgamation of the Transferor Companies with the Transferee Company will result in centralization and greater integration of the business operations of the Companies and enable focus on core competencies;

4.1.2 The scheme of Amalgamation would facilitate the continuance of business of the transferor Company under one entity and management and would help in elimination of duplication and rationalization of administrative expenses;

4.1.3 By the amalgamation, transferee Company will be able to operate and run the company more effectively and economically resulting in better turnover, operational efficiencies, business synergies and more productive utilization of resources.

4.1.4 The amalgamation will lead to reflection of true net worth of the combined business for the stakeholders in the financial statements and enhancement of net worth of combined business leading to enhancement in the value of stakeholders.

4.1.5 There is no likelihood that interests of any shareholder or creditor of either the transferor Companies or Transferee Companies would be prejudicial as a result of the scheme. The scheme of amalgamation will result in better management synergy and flexibility and will not impose any additional burden on the members of the transferor companies or the transferee company.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 01.12.2021 had directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (a) Central Government through the office of Regional Director (Southern Region), MCA (b) RoC, Chennai, MCA (c) Official Liquidator (d) the jurisdictional Income Tax Department Authorities and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition)

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal vide multiple dairy numbers on 07.01.2022 in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have individually effected the paper publication as directed by the Tribunal in the issue of "Business Standard", English and "Makkal Kural" Tamil (Tamil Nadu Edition) on 31.12.2021. It is also seen that notices have been also served to (i) The Regional Director, Southern Region, Chennai on (ii) Registrar of Companies, Chennai (iii) Assessing Officer, Income Tax Department (iv) The Official Liquidator and Reserve Bank of India on 09.12.2021 by way of registered post. Affidavits of Service

dated 04.01.2022 stating compliance of the directions of the Tribunal was filed. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

7.1.1 The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued, has filed his Report before this Tribunal on 08.04.2022 and has stated that *"no prosecution/complaint/inspection or investigation is pending against the Companies and that the Regional Director had decided not to make any objection to the scheme and it is therefore prayed that this Hon'ble National Company Law Tribunal Bench at Chennai may dispose of the matters on merits and pass such order/orders as deemed fit and proper."*

7.2. OFFICIAL LIQUIDATOR

7.2.1 The Official Liquidator (In short, 'OL') in its report dated 05th April 2022, submitted that M/s. Shanmugam & Muthu, Chartered Accountants has verified the books and accounts of the Transferor Companies. The report of the Official Liquidator

states that the Chartered Accountant has examined the records of the Transferor Companies and prima facie, nothing adverse or objectionable issues affecting the Transferor Companies or its members or creditors or the public interest is noticed. The Chartered Accountants is of the opinion that the affairs of the Transferor Companies have not been conducted in a manner which is prejudicial to the interest of the members or to the public interest.

7.3 INCOME TAX DEPARTMENT

7.3.1 In spite of notice having been served to the Income Tax department by the Companies on 09.12.2021, there was neither any representation nor any report filed by the said authorities. In the said circumstances as per section 230(5) of the Companies Act, 2013, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

7.3.2 However, in Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi with a view to protect the interest of the revenue, has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutorily dues from the transferor or transferee or any other person who is liable for payment of such tax dues the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

7.4 OTHER STATUTORY AUTHORITIES

7.4.1 It is submitted by the Learned Counsel for the Petitioners that notice was served to the Reserve Bank of India on 09.12.2021 by the Transferee Company, for which there was neither any representation nor any report filed by the said authorities. In the said circumstances as per section 230(5) of the Companies Act, 2013, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme. It was further submitted that the equity shares of the Petitioner Companies are not listed with the stock exchanges, thus the Petitioner

Companies does not require compliance of Listing Agreement or SEBI Rules/Regulations.

7.5 ACOUNTING TREATMENT

7.5.1 The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and certified that the Petitioner Companies have complied with provisions of the Companies Act, 2013 and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Petitioner Companies have individually filed the Auditor's Certificate in relation to the accounting treatment proposed in the Composite Scheme being in compliance with the Accounting Standards notified under Section 133 of the Companies Act, 2013 on 08.12.2021.

7.5.2 Further perusal of the Scheme would show that the accounting treatment is in conformity with the established accounting standards. In short, there is no apprehension that any of the creditors would lose or be prejudiced if the proposed Composite Scheme is sanctioned. The said Scheme of Amalgamation will

not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of the any class of the creditors in any manner.

8. OBSERVATIONS OF THIS TRIBUNAL

8.1 After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* in compliance with the provisions of the Companies Act, 2013. Further there seems to be no objection on the part of the shareholders that the Scheme is in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Amalgamation along with Company Petitions as well as the prayer made therein.

8.2 The Learned Counsel for the Petitioner Companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

8.3 Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in

accordance with law, against the persons concerned and also the directors and officials of the petitioners.

8.4 While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

THIS TRIBUNAL DO FURTHER ORDER:

(i) That the schedule mentioned properties, right and interest of the Transferor Companies shall pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee as per the terms of the Scheme of Amalgamation.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee/Resulting Company.

(iii) That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(iv) **The Appointed Date of the said Composite Scheme is 1st July 2020 as specified in the Scheme.** The Effective Date shall mean *"the date from which the National Company Law Tribunal, Chennai Bench sanctions the scheme under sections 230-232 of the companies act, 2013"* as specified in Part –A Clause 1.4 of the Scheme proposed.

(v) That all the employees of the Transferor Companies in service on date immediately preceding the date on which the Scheme finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Companies.

(vii) That the Transferee Companies do without further application allot to such members of the Transferor Companies, as have not given such notice of dissent, as is required in **Clause 11 of Part B** of the proposed Modified Scheme of Amalgamation.

(viii) That the Transferor Companies and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Concerned Registrar of Companies along with a copy of the Composite Scheme

of Amalgamation for registration and on such certified copy being so delivered, the Transferor Companies shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Companies and registered with him on the file kept by him in relation to all the Transferee Company and the files relating to the said both companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

(x) That each of the Transferor Companies which are being dissolved are directed to pay **Rs. 50,000/- (Fifty Thousand Rupees Only) individually to the office of the Official Liquidator for payment towards Chartered Fee.**

9. That the Company Petitions are allowed and the Modified Scheme of Amalgamation with the Company Petitions is hereby sanctioned and shall be binding on the members, unsecured creditors and shareholders of the Transferor/ Transferee Companies.

10. Accordingly, the Composite Scheme stands sanctioned and CP (CAA)/52-56(CHE)/2021 stand disposed of.

-SD-

ANIL KUMAR B
MEMBER (TECHNICAL)

-SD-

JUSTICE (RETD.) S. RAMATHILAGAM
MEMBER (JUDICIAL)